

HARBOR LANE PARTNERS, LTD.
41 HARBOR LANE
PORTLAND 4, MAINE

January 21, 1972

How We Fared in 1971

Every January I set down the year's results next to the "yardstick" we agreed on when each of you joined. It's a habit I intend to keep -- good years and poor ones alike -- because a record that is only reported when it flatters the reporter isn't much of a record.

The Composite Industrial Average gained 9.3% during 1971 once dividends are counted. Our partnerships that operated for the whole year gained 21.7%, measured before any allocation to the general partner. The full record since we began is below:

Year	Partnerships Operating Entire Year	Partnership Gain	Composite Gain*
1968	2	14.2%	6.1%
1969	3	9.8%	-8.4%
1970	3	11.5%	2.9%
1971	4	21.7%	9.3%

* Including dividends paid on the stocks in the Composite.

After the general partner's share, and compounded from the start, the record for a limited partner reads:

Year	Limited Partners' Gain	Composite Gain
1968	11.6%	6.1%
1969	8.1%	-8.4%
1970	9.4%	2.9%
1971	17.5%	9.3%

COMPOUNDED

1968	11.6%	6.1%
1968-69	20.6%	-2.8%
1968-70	32.0%	0.0%
1968-71	55.1%	9.3%

Keeping Score

Last winter I wrote the following, and I would not change a word of it:

"A single year tells you very little about a manager. Three years tell you a bit more, and a period that includes both a falling and a rising market tells you most of what you need to know. Please judge us on that longer stretch."

We now have such a stretch behind us, and the comparison has held up in both kinds of market. That is the only

claim I care to make for it.

Where Our Money Goes

Our commitments fall into three groups, each behaving differently from the others:

- (1) Undervalued common stocks bought for their own merits, which tend to move with the general market in the short run but should do better than it over a period of years.
- (2) Special situations whose outcome depends on a corporate event -- a merger, a liquidation, a tender -- rather than on the level of the market. These earn a steadier, more modest return.
- (3) Holdings large enough that we take a hand in the company's affairs. These are few, they take years, and they are the reason our results can look lumpy.

Early in the year a buyer for Rockport Canning was rumored, and by spring the terms were public: the figure was \$4.15 per share.

Mr. Abel attended the annual meeting in Boston, where the closing was put at sometime in the autumn.

Growing Pains

Partners sometimes ask whether our growing size will make the job harder. The honest answer is that it will, eventually, but not yet. A small partnership can buy a few thousand shares of an obscure company without anyone noticing; a large one cannot. For the present our capital is small enough that the opportunities I find are limited by my own time rather than by our size, and I expect that to remain true for several more years.

What size does change is the kind of company we can own outright. A few years ago a business worth a million dollars would have been far beyond us. Today it is within reach, and that opens a category of investment that was closed to us before. I would rather own a modest, honest business at a fair price than a glamorous one at a price that assumes everything goes right.

I am often asked how I decide when a holding has run its course. There is no formula. When the price of a security reaches a level that fairly reflects its value, and something cheaper is available, we switch. When nothing cheaper is available we wait, and waiting has been one of our more profitable activities. I make no forecast of the market for 1972 and I do not know of anyone whose forecasts I would care to rely on. If the market should fall sharply, our comparative results should be good, although our absolute results may well be negative; if it should rise sharply, we will probably trail the Composite and you should not be surprised when we do. Over a full cycle, rising and falling, I expect us to do meaningfully better than the average, and I would be disappointed with any result that fell short of that over five years. Some of you have asked whether a good year should change any of these expectations. It should not. A good year mostly reflects the particular opportunities that happened to be available, and those come and go on their own schedule rather than on ours.

Our accountants have completed the audit, and each of you will receive a statement of your capital account with this letter. Tax information will follow by the middle of February.

Cordially,

Edward T. Lindqvist

HARBOR LANE PARTNERS, LTD.
41 HARBOR LANE
PORTLAND 4, MAINE

July 9th, 1972

First Half Performance

During the first six months the market did very little, and so did we. The half-year figures were:

Composite Industrial Average	-3.1%
Harbor Lane Partners	4.6%
Limited Partners	3.7%

We added to our position in the 6 1/2% notes of a regional railroad, which can be called at 104 1/4 and which we bought well below that level. The notes are not exciting, but they pay us to wait.

Cordially,

Edward T. Lindqvist

HARBOR LANE PARTNERS, LTD.
41 HARBOR LANE
PORTLAND 4, MAINE

October 2, 1972

To My Partners:

A few practical points before year end:

- (a) Additions to your interest should reach us by December 20th so they can be credited from January 1st.
- (b) Withdrawals follow the same calendar; please write rather than telephone so we have a record.

Sincerely,

Edward T. Lindqvist

HARBOR LANE PARTNERS, LTD.
41 HARBOR LANE
PORTLAND 4, MAINE

January 19, 1973

Our Results in 1972

The Composite rose 7.4% including dividends; we rose 12.9%. The largest contributor was Rockport Canning, whose figures appear in the appendix so you can follow the change in its balance sheet for yourselves.

APPENDIX

ROCKPORT CANNING COMPANY

When we took control the company carried far more inventory than it could sell in a season. The comparison below shows what a year of patient housekeeping did:

	12/31/70	11/30/72 (unaudited)
Cash	\$92,000	\$61,000
Marketable securities at market (which exceeds cost)		\$1,214,000
Total Cash and Securities	\$92,000	\$1,275,000
Accounts receivable (net)	\$640,000	\$512,000
Inventory	\$2,310,000	\$705,000
Current Assets	\$3,042,000	\$2,492,000
Notes Payable	\$750,000	
Total Liabilities	\$1,121,000	\$188,000
Net worth		
84,120 shs. outstanding	\$2,013,000	\$2,436,000

I expect the company to earn its keep from here, and to do it with a fraction of the capital it used to tie up.

Cordially,

Edward T. Lindqvist